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Equity Strategy

Stay bullish on EM vs DM

- After an extended bearish stance, where EM have been on a relative downtrend ever since 2008, we **turned OW EM equities last year**, and argued in our '26 [Year Ahead](#) that this should be their second consecutive year of outperformance. We refresh arguments over why **EM are likely to have a further meaningful rally in 2H of the year**:
- 1. **AI trade continuing.** In [March](#) we highlighted that Mag-7 moved to the cheapest in 10 years, and AI at risk stocks became record cheap. The attractive valuations, underpinned by strong earnings, helped the space rally. EM AI plays are in our view even cheaper and offer further upside potential, and represent a big chunk of the overall index, at 40% of MSCI EM. Our EM strategists stay bullish on [Korea](#) and [Taiwan](#). Here, memory rally has been aggressive, but meaningful supply additions are not arriving before 2H of next year, with equities typically discounting the worsening supply-demand balance 6-9 months ahead, so it would be too early to turn bearish already. We also believe that China Tech should catch up, as well, and it is trading at near record discounts to others.
- 2. **Fed, bond yields and USD view.** We continue to believe that market pricing of central banks' hawkishness, which has spiraled since the Iran war started, is likely to reverse in 2H - **differences to 2022 remain dramatic**, in terms of corporate pricing power, wage growth, real rates, etc. - see our [report](#). With a new Fed chairman arriving, the wildcard is that some of the Fed's reaction function shifts more dovish later in the year. Bond yields could drift lower in 2H, either way the conflict proceeds from here. USD has acted as a safe haven in the past 2 months, but we note that it is trading expensive in a long-term context, to the tune of 10-15%. If USD is softer, EM tended to benefit.
- 3. **China green shoots?** In our *Year Ahead*, we argued that China activity was likely to inflect higher, given the liquidity infusion, supportive policy stance and a stabilization in house prices. We are seeing increasing evidence of this. The upcoming Trump-Xi meeting could aid the outlook.
- 4. **Iran conflict to subside.** We have consistently argued since the second half of March to use the dips driven by geopolitical uncertainty to buy into. We continue to see bouts of weakness as opportunities to add, and don't find equities as complacent, despite fresh all-time highs for both MXWO and for MXEF. If the geopolitical situation stabilizes in 2H, with easing concerns over oil supplies, EM stand to benefit.
- 5. **Valuations, positioning and flows** are all attractive for EM. EM P/E relative to DM is trading at record cheap at present - middle chart, and at absolute 12x forward P/E the space is far from demanding. Investor positioning remains low in EM, and flows are accelerating - bottom chart.
- **We stay very bullish on Mining, Semis and Industrials** sectors. Cyclical Consumer plays are trading at relative lows, which likely stays the case until the Iran conflict shows more concrete evidence of waning, but are likely to have a better 2H.



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Equity Strategy

Mislav Matejka, CFA ^{AC}

(44-20) 7134-9741
mislav.matejka@jpmorgan.com
J.P. Morgan Securities plc

Prabhav Bhadani, CFA

(44-20) 7742-4404
prabhav.bhadani@jpmorgan.com
J.P. Morgan Securities plc

Nitya Saldanha, CFA

(44 20) 7742 9986
nitya.saldanha@jpmchase.com
J.P. Morgan Securities plc

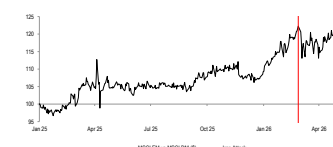
Karishma Manpuria, CFA

(91-22) 6157-4115
karishma.manpuria@jpmchase.com
J.P. Morgan India Private Limited

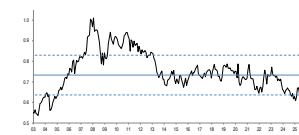
Anamil Kochar, CFA

(91-22) 6157-5179
anamil.kochar@jpmchase.com
J.P. Morgan India Private Limited

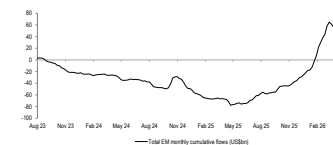
We have last year turned OW EM equities, after our prolonged bearish stance...



...despite better recent performance, EM continue to trade at record cheap P/E relatives...



...EM inflows started this year, and we think there is more to go



Source: J.P. Morgan, Bloomberg Finance L.P., IBES, Datastream, JPM EM Strategy team

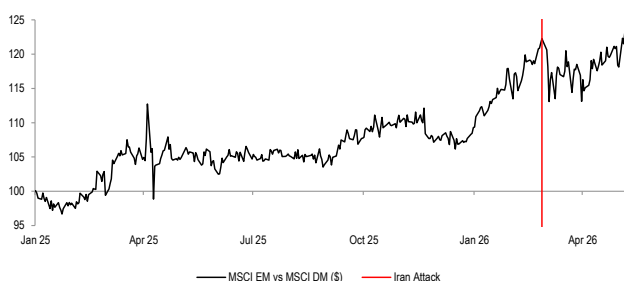
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Stay bullish on EM vs DM

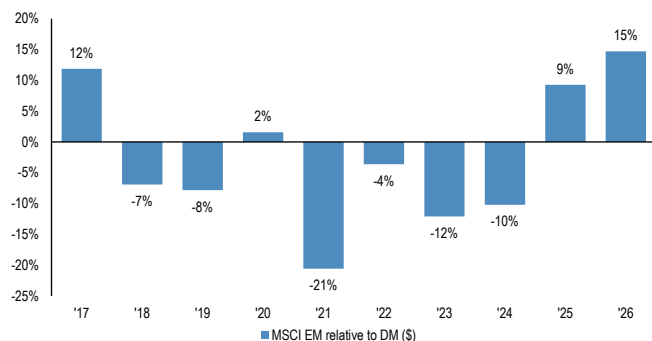
Figure 1: MSCI EM vs DM



Source: Datastream

After an extended bearish stance on Emerging markets, where EM equities were on a relative downtrend ever since 2018, we turned Overweight EM equities last year and argued in our [2026 Year Ahead](#) that this should be their second consecutive year of outperformance. Since the beginning of 2025, EM equities have cumulatively outperformed DM by approximately 25% in dollar terms. However, this gain remains modest compared to the 47% relative underperformance that EM experienced versus DM from 2018 to 2024, suggesting the reversal has considerably further to run.

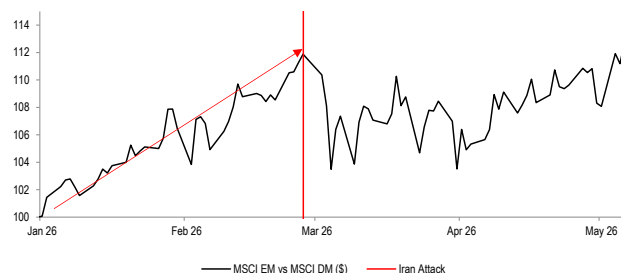
Figure 2: MSCI EM vs DM



Source: Datastream

The multi-year underperformance of EM versus DM from 2018 to 2024 was one of the longest and deepest relative drawdowns on record. This was mainly driven by a strong dollar, China's structural slowdown, and the dominance of US mega-cap technology sector. We believe the conditions that sustained this underperformance are now reversing, the dollar is expensive and likely to weaken, China policy is turning supportive, and EM AI plays offer a valuation-attractive alternative to crowded US tech positions. The 2025 outperformance of 9% and the 2026 YTD gain of approximately 15% represent, in our view, only the early stages of a multi-year mean reversion.

Figure 3: MSCI EM vs DM ytd



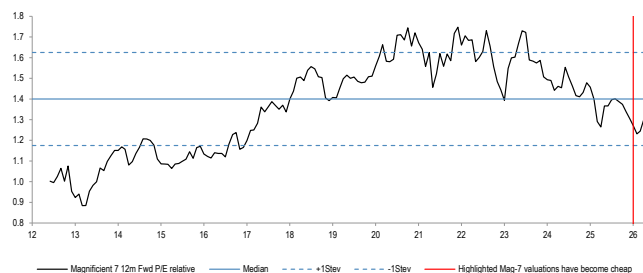
Source: Datastream

Despite the disruption caused by the Iran conflict in Q1, EM equities have demonstrated resilience, with MSCI EM making fresh all-time highs alongside MSCI World. We do not find equities complacent at these levels, given the supportive fundamental backdrop and the degree of underinvestment that persists in the asset class.

In this report, we refresh our arguments over why EM is likely to have a further meaningful rally in the second half of the year.

1) EM offers cheaper exposure to the resurgent AI trade

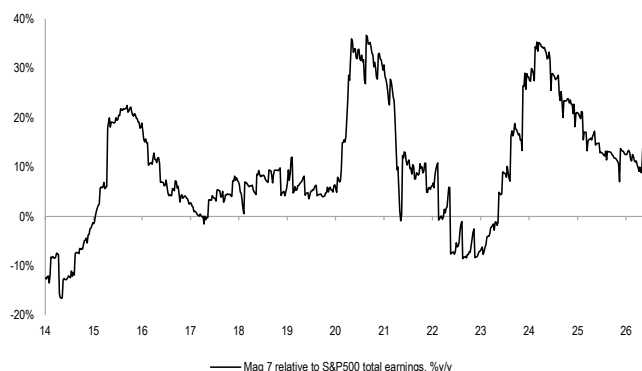
Figure 4: Mag - 7 12m fwd P/E relative



Source: Datastream

In March, we highlighted that Mag-7 valuations had moved to the cheapest level in 10 years on a relative P/E basis, and that AI-at-risk stocks had become record cheap. Attractive valuations, underpinned by strong earnings delivery, have helped the space rally from the lows.

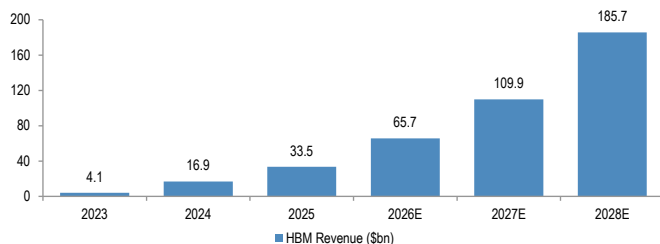
Figure 5: Mag7 total earnings relative to S&P500, %/y



Source: IBES

One of the key concerns around the AI trade earlier was the difficulty in monetisation. The worry was that, with no clear moat in AI services, value creation would accrue predominantly to consumers rather than providers, eventually leading to a reassessment of spending plans. Recent developments have materially shifted this debate. Anthropic's disclosed revenue acceleration, from approximately \$9bn ARR at the end of 2025 to approximately \$30bn ARR in April 2026, has reignited the bullish AI trade. Token consumption growth has accelerated from approximately 10x year-on-year at end 2025 to approximately 20x currently, and we are seeing a moderation of pricing deflation with various approaches to throttle token usage and increase pricing with new model launches.

Figure 6: High Bandwidth Memory Revenue (HBM)



Source: J.P. Morgan. Korea Technology team

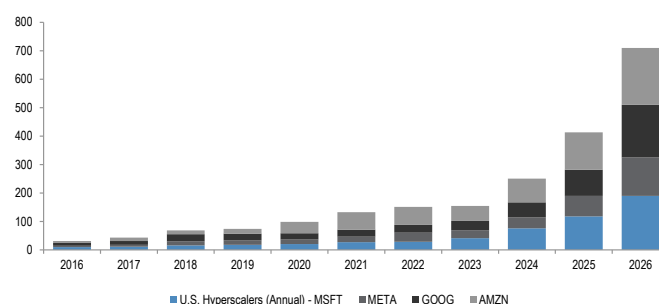
Beyond the improving monetization picture, tightness in the AI compute supply chain is filtering through to pricing increases across the board. The memory rally has been aggressive, with DRAM prices more than tripling from their 2023 trough. Samsung Electronics posted an eightfold increase in quarterly profit, with chips responsible for 94% of its record total, while SK Hynix reported a fivefold increase in quarterly earnings. Together, these two companies account for almost 55% of MSCI Korea.

However, meaningful supply additions are not arriving before the second half of 2027. New fab capacity from Samsung and SK Hynix is not expected to come online until late next year at the earliest, and the conversion of existing DRAM lines to

HBM further constrains conventional memory supply. Equities typically discount a worsening supply demand balance 6 to 9 months ahead of the physical market turning, which suggests it would be too early to turn bearish on memory names already. Better risk management, in our view, may be in being slightly late rather than too early in positioning for a cycle downturn, an approach we have advocated for in Korea over the past six months.

This is a meaningful positive for the entire AI hardware supply chain, which is overwhelmingly domiciled in EM Asia.

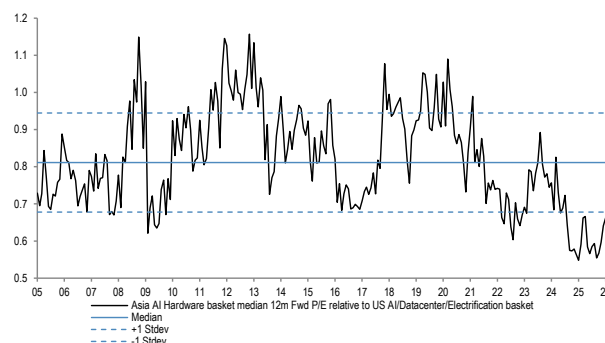
Figure 7: US Hyperscaler Capex spend (\$ billion)



Source: J.P. Morgan.

US tech giants are expected to spend close to \$700 billion in capex this year, much of it directed toward AI infrastructure. Nvidia now relies on Asian suppliers for approximately 90% of its production costs, up from 65% last year. The tech capex outlook is likely to be revised even higher on the back of recent cybersecurity-risk-related headlines, as the private and public sectors actively look to minimize system vulnerabilities and modernise legacy infrastructure.

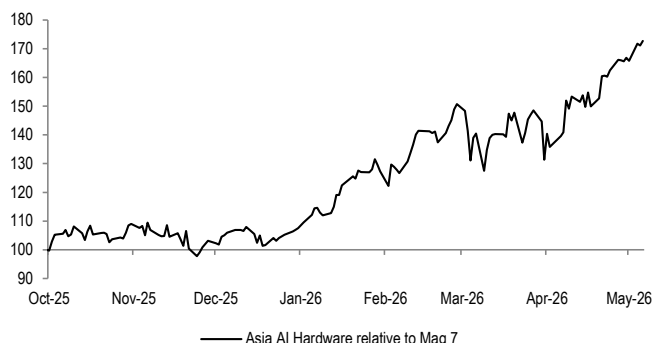
Figure 8: Asia AI hardware basket median 12m Fwd P/E relative to US AI/Datacenter/Electrification basket



Source: J.P. Morgan., IBES

EM AI Hardware plays are, in our view, cheaper than their US peers and offer further upside.

Figure 9: Asia AI Hardware basket relative to Mag 7



Source: J.P. Morgan, Bloomberg Finance L.P. Past performance is not indicative of future returns.

The Asia AI Hardware basket has outperformed the Mag-7 complex by over 100% since the start of 2025, and we see scope for this trend to continue as investors seek AI exposure at more reasonable multiples.

Table 1: EM Asia AI Hardware basket

Ticker	Name	Sector	Country	Weight (%)
1347.HK	Hua Hong Semiconductor Ltd	Information Technology	China	8.1
4082.JT	Ibiden Co Ltd	Information Technology	Japan	5.7
2308.TT	Delta Electronics Inc	Information Technology	Taiwan	5.0
6857.JT	Advantec Corp	Information Technology	Japan	4.7
6920.JT	Lasertec Corp	Information Technology	Japan	4.3
3017.TT	Asia Vital Components Co Ltd	Information Technology	Taiwan	4.2
3037.TT	Unimicron Technology Corp	Information Technology	Taiwan	3.9
2449.TT	King Yuan Electronics Co Ltd	Information Technology	Taiwan	3.8
7735.JT	SCREEN Holdings Co Ltd	Information Technology	Japan	3.2
2360.TT	Chroma ATE Inc	Information Technology	Taiwan	3.1
3711.TT	ASE Technology Holding Co Ltd	Information Technology	Taiwan	3.0
2303.TT	United Microelectronics Corp	Information Technology	Taiwan	3.0
6669.TT	Winyan Corp	Information Technology	Taiwan	3.0
8035.JT	Tokyo Electron Ltd	Information Technology	Japan	2.9
6590.JT	Shibaura Mechatronics Corp	Information Technology	Japan	2.9
2330.TT	Taiwan Semiconductor Manufacturing Co Ltd	Information Technology	Taiwan	2.8
2345.TT	Accon Technology Corp	Information Technology	Taiwan	2.7
6146.JT	Disco Corp	Information Technology	Japan	2.5
2317.TT	Hon Hai Precision Industry Co Ltd	Information Technology	Taiwan	2.2
3231.TT	Wistron Corp	Information Technology	Taiwan	2.2
6323.JT	Rozee Corp	Information Technology	Japan	2.1
6723.JT	Renesas Electronics Corp	Information Technology	Japan	2.1
2382.TT	Quanta Computer Inc	Information Technology	Taiwan	1.9
3661.TT	Alchip Technologies Ltd	Information Technology	Taiwan	1.9
2454.TT	MediaTek Inc	Information Technology	Taiwan	1.8
6963.JT	Rohm Co Ltd	Information Technology	Japan	1.5
952.HK	Lenovo Group Ltd	Information Technology	China	1.5
4901.JT	FLUORFILM Holdings Corp	Information Technology	Japan	1.5
3436.JT	SUMCO Corp	Information Technology	Japan	1.4
2357.TT	Asustek Computer Inc	Information Technology	Taiwan	1.3
2378.TT	Rambus Semiconductor Corp	Information Technology	Taiwan	1.1
2301.TT	Like-On Technology Corp	Information Technology	Taiwan	1.0
7729.JT	Tokyo Seimitsu Co Ltd	Information Technology	Japan	0.8
6239.TT	Powertech Technology Inc	Information Technology	Taiwan	0.7
6841.JT	Yokogawa Electric Corp	Information Technology	Japan	0.7
2412.TT	Chunghwa Telecom Co Ltd	Communication Services	Taiwan	0.7
3529.TT	eMemory Technology Inc	Information Technology	Taiwan	0.6
522.HK	ASMPKT Ltd	Information Technology	Singapore	0.6
6890.JT	Ferrotec Corp	Information Technology	Japan	0.6
6728.JT	Ulvac Inc	Information Technology	Japan	0.5
6415.TT	Silegy Corp	Information Technology	China	0.5
2324.TT	Compal Electronics Inc	Information Technology	Taiwan	0.4
2377.TT	Micro-Star International Co Ltd	Information Technology	Taiwan	0.4
2353.TT	Acer Inc	Information Technology	Taiwan	0.3
6845.JT	Azbil Corp	Information Technology	Japan	0.3
3132.JT	Macnica Holdings Inc	Information Technology	Japan	0.3
4369.JT	Tri Chemical Laboratories Inc	Information Technology	Japan	0.2
6707.JT	Sanken Electric Co Ltd	Information Technology	Japan	0.2

Source: J.P. Morgan, Bloomberg Finance L.P., All stocks are liquidity weighted in the basket.

This basket has been created to leverage the theme of this research report. It includes companies that are not covered by J.P. Morgan Research and should not be viewed as a recommendation with respect to these companies.

The Asia Tech hardware ecosystem sits at the centre of the global AI buildout, and our colleagues see the supply demand tightness persisting for at least the next two to three quarters, supporting continued pricing power across the chain.

Table 2: AI weight in MSCI EM

Country	AI weight in MSCI EM
Taiwan	20.5
Korea	10.6
China	8.1
MSCI EM	39.1

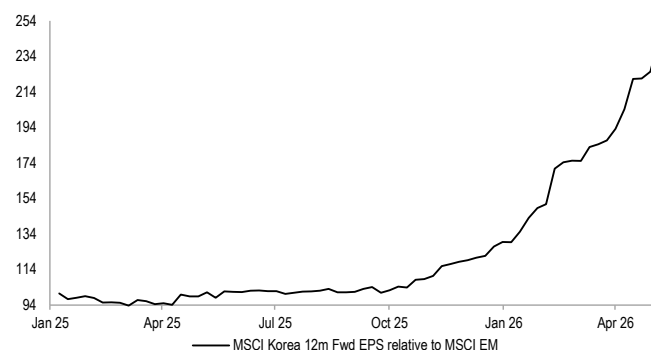
Source: J.P. Morgan Asia Equity Strategy

Critically, AI-related names represent a substantial portion of the overall EM index, accounting for approximately 40% of EM Asia market capitalisation.

Our EM strategists are bullish on both Korea and Taiwan

Our Asia equity strategy team has [recently](#) broadened their preferred areas in Tech beyond Korea and China to include Taiwan, upgrading both Tech and Taiwan to Overweight.

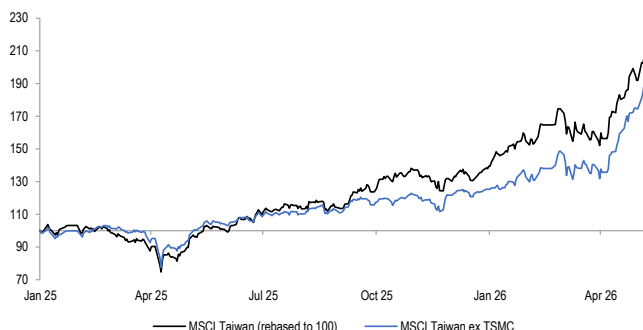
Figure 10: MSCI Korea 12m Fwd EPS relative to MSCI EM



Source: IBES

Korea earnings momentum remains exceptionally strong, with MSCI Korea forward EPS continuing to see upward revisions relative to the broader EM benchmark. The KOSPI has reached record closing highs, powered by chip gains, and Korea IT has been the standout winner within the Asian AI complex year-to-date. We also note that Korea's ongoing governance reforms provide an additional catalyst for re-rating, as the valuation discount narrows.

Figure 11: Taiwan performance - with and ex TSMC

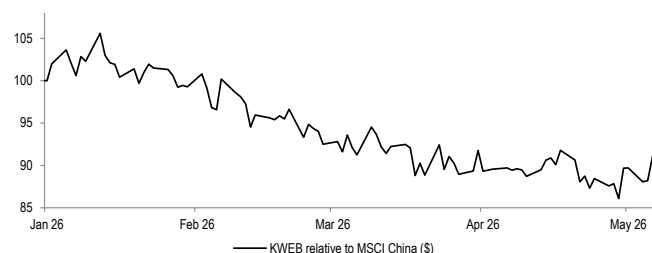


Source: Datastream

Within the Asian AI stack, Korea has led by a wide margin, but Taiwan companies are now catching up. The MSCI Taiwan ex-TSMC has recently seen very strong momentum. This broadening within Taiwan is encouraging and supports the upgrade to Overweight.

China Tech is trading at a meaningful discount and should catch up

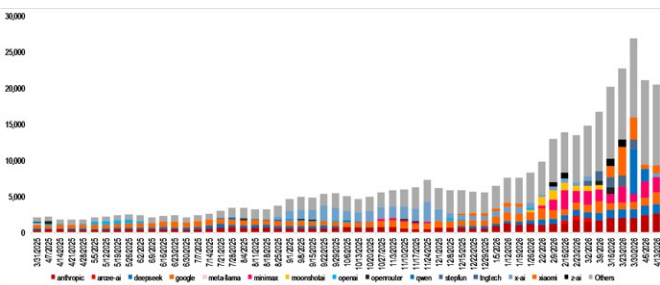
Figure 12: KWEB relative to MSCI China



Source: Datastream

We also believe that China Tech should catch up. The KWEB (China Internet) index is down almost 10% year to date, underperforming MSCI China year to date even as Tech continues to do better globally.

Figure 13: Global token consumption capture by Open router



Source: J.P. Morgan. China Internet Team, OpenRouter (data as of April 13, 2026)

The China AI ecosystem is experiencing explosive growth. Average daily token consumption in China exceeded 140 trillion in March 2026, compared to just 100 billion at the start of 2024. China now has over 600 million generative AI users,

a 142% increase from the prior year.

DeepSeek's recent release of its V4 model is optimised for domestic chips, particularly Huawei's Ascend 950, triggering a surge in demand from major tech firms including ByteDance, Tencent, and Alibaba. This accelerates the indigenisation theme and reduces China's vulnerability to US export controls, which we view as a structural positive for the domestic semiconductor supply chain.

Figure 14: KWEB 12m Fwd. P/E relative to Mag 7

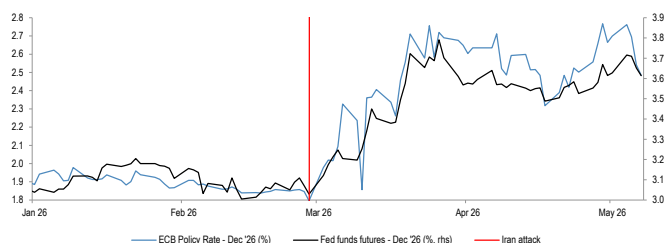


Source: IBES

The market continues to apply an excessive geopolitical risk premium to Chinese technology names in our opinion. While US-China tensions remain a structural overhang, we note that China's AI ecosystem is increasingly self-sufficient. Any stabilisation in US-China relations, including the upcoming Trump-Xi meeting, could serve as a catalyst for re-rating. We see China Tech as offering asymmetric upside from current levels.

2. The hawkish pricing of Fed policy is likely to reverse

Figure 15: Fed and ECB policy rate - Dec '26



Source: Bloomberg Finance L.P.

We continue to believe that market pricing of central bank hawkishness, which spiralled since the Iran conflict started, is likely to reverse in the second half of the year. Markets moved ECB rate forecasts up by as much as 70bp since the initial escalation, and taken out expectations for Fed cuts by almost 60bp. Pricing of end-2026 Fed funds futures remains well above pre-conflict levels. We believe this hawkish repricing is set to unwind.

Table 3: Iran Conflict vs Russia - Ukraine (2022)

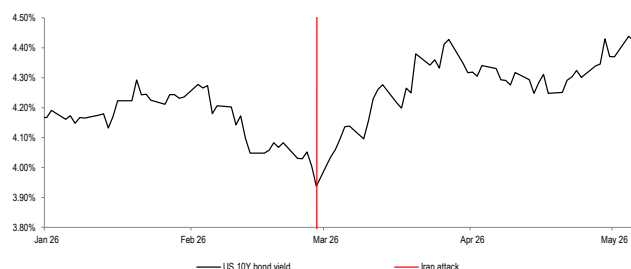
Category	Pre-Iran Conflict	2022
US CPI	Deaccelerating (3.3% currently)	Elevated and accelerating (9.1% at the peak in June '22)
US Core CPI	Deaccelerating (2.6% currently)	Elevated and accelerating (6.6% at the peak in June '22)
Wage Growth	Deaccelerating	Elevated and accelerating
ISM Manufacturing	52.7 (3 Year High, Improving)	57.4 (Falling)
Eurozone Gas Prices move at peak	108%	389%
Strategic Reserve Response	400 million barrel	182.7 million barrel
ECB Policy Rate	Hold at 2%	Start hiking from -0.5%
Fed Policy Rate	Hold at 3.75%	Start hiking from 0.25%

Source: J.P. Morgan.

While an extended conflict could push prices higher in the near term, the differences to 2022 remain dramatic. Wage growth is decelerating rather than accelerating, corporate pricing power is fading, real rates are already restrictive, and the oil intensity of GDP is roughly 60% lower than in the 1970s. Central banks entered 2022 with policy rates well below neutral and were forced to catch up aggressively. At present, policy rates are largely in line with historical norms.

With a new Fed chairman arriving later this year, the wild card is that some of the Fed's reaction function shifts more dovish. Bond yields could drift lower in the second half regardless of how the conflict proceeds from here, as the growth impulse from the oil shock fades and the disinflationary forces in services and wages reassert themselves.

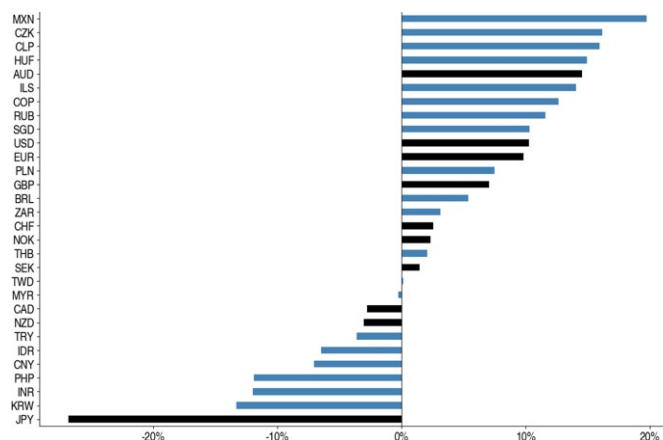
Figure 16: US 10Y bond yield



Source: Bloomberg Finance L.P.

Bond yields across DM have remained elevated, 40-50bp higher versus pre-conflict levels, altogether tightening financial conditions. We believe this represents an overshoot that will correct as the conflict de-escalates and inflation expectations normalise. For EM assets, a decline in DM yields would ease funding costs, support capital flows, and reduce the opportunity cost of holding EM equities.

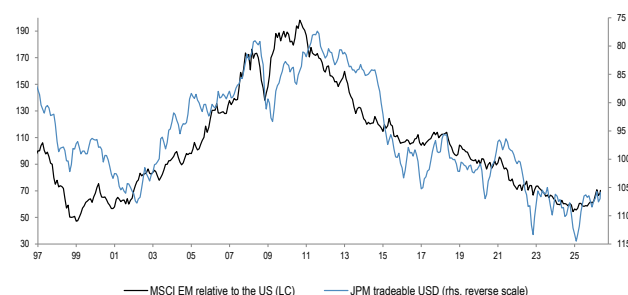
Figure 17: Current deviation of average REER PPI/CPI vs 15yr moving average



Source: J.P. Morgan. FX Strategy

The dollar has acted as a safe haven in the past two months, but we note that it is trading expensive in a long-term context, to the tune of 10-15% above fair value on our FX team's REER models. Our FX strategists' longer-term bearish dollar view remains intact. They believe the dollar outlook is less bearish than it was pre-conflict due to persistent energy pressures, but it is not sufficient to alter the medium-term bearish stance.

Figure 18: EM relative performance and USD

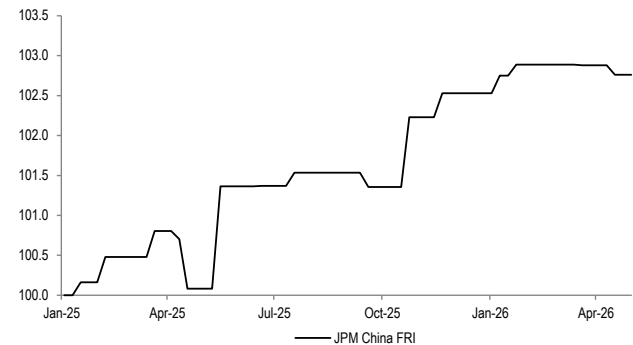


Source: Datastream

When the USD is softer, EM has tended to benefit. The correlation between EM relative performance and the dollar has been consistently negative over the past three decades.

3. China activity green shoots emerging

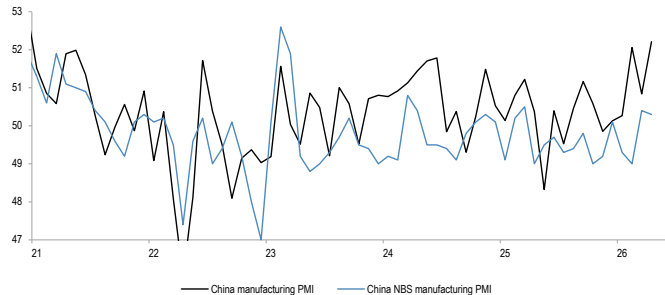
Figure 19: JPM China FRI



Source: Bloomberg Finance L.P.

We argued in our Year Ahead that China activity was likely to inflect higher, given the liquidity infusion, supportive policy stance, and stabilisation in house prices. We are seeing mounting evidence of this. The JPM China FRI has been trending higher since late 2025, and the most recent readings suggest that the credit impulse is gaining traction.

Figure 20: China Manufacturing PMI



Source: J.P. Morgan.

Chinese PMIs are moving higher.

Table 4: China heatmap

	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
Manufacturing PMI														
Caixin	51.2	50.4	48.3	50.4	49.5	50.5	51.2	50.8	49.9	50.1	50.3	52.1	52.8	52.2
NBS	50.5	49.8	48.8	49.7	49.3	49.4	49.8	49.9	49.2	50.1	49.3	49.8	50.4	50.8
Services PMI														
Caixin	51.9	50.7	51.1	50.8	52.0	53.0	52.8	52.6	52.1	52.0	52.3	56.7	52.1	52.8
NBS	50.8	50.4	50.3	50.5	50.1	50.3	50.9	50.1	49.5	50.2	49.4	49.5	50.1	49.4
Composite PMI - Caixin	51.8	51.1	49.8	51.3	50.8	51.9	52.5	51.8	51.2	51.3	51.8	55.4	51.5	55.1
Export Growth %yoy	12.2%	8.0%	4.8%	5.8%	7.1%	4.3%	8.2%	-1.2%	5.9%	8.4%	10.0%	38.6%	2.8%	
Industry														
Electricity Production, %yoy	1.8%	0.5%	0.5%	2%	3%	2%	2%	8%	3%	0%	-	-	1%	
PPI, %yoy	7.7%	6.1%	5.8%	7%	6%	5%	7%	5%	5%	5%	-	-	4%	
FAI, %yoy	4.2%	4.0%	3.7%	2.8%	1.6%	0.5%	-0.5%	-1.7%	-2.6%	-3.8%	-	-	1.8%	1.7%
Consumer Activity														
Retail Sales, %yoy	5.0%	5.1%	6.4%	4.8%	3.7%	3.4%	3.0%	2.9%	1.3%	0.9%	-	-	1.7%	
Passenger Car Sales, %yoy	10.4%	11.8%	13.3%	14.5%	14.7%	16.5%	13.2%	7.5%	1.2%	-8.7%	-8.8%	-15.4%	-2.2%	
City-level house price index, %yoy	-5.0%	-4.5%	-4.1%	-3.7%	-3.4%	-3.0%	-2.5%	-6.1%	-2.8%	-3.0%	-3.3%	-3.5%	-3.6%	
Liquidity & Monetary Conditions														
M2, %yoy	7.0%	6.6%	7.0%	6.9%	6.8%	6.4%	6.4%	6.2%	6.0%	6.5%	6.0%	6.0%	6.2%	
P2, %yoy	3.0%	3.0%	3.0%	3.1%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	
New Loan Creation (billion yuan)	3039	288	823	2238	-49	589	1352	217	384	912	4710	800	2055	

Source: Bloomberg Finance L.P., IBES

The data is showing clear improvement in several key areas. Fixed asset investment has turned positive after several months of contraction, the Caixin Composite PMI spiked to 55.4 in February, and export growth has been robust.

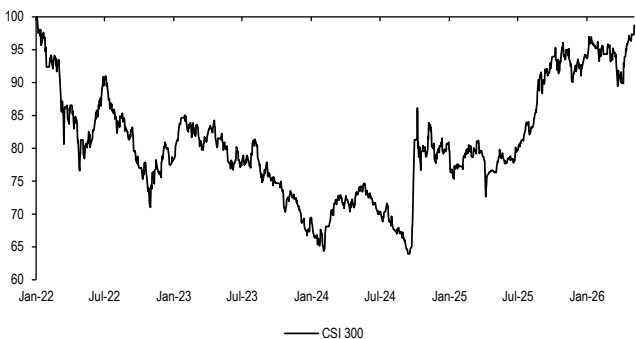
Table 5: Fiscal support for consumption (bn yuan)

Items	Official (2025)	JPMc (2026)	Official (2026)
Trade-in subsidies	300	400*	250
Basic pension	43	45	43
Basic Medicare	33	35	23
Minimum-living allowance	34	35	
Incentives for new births	100	100	100
Free preschool education	20	40	40
Elderly care	1.2		10.9
Interest subsidy loans	45	45	
Fiscal-financial tool			100
Total	576 (0.4%)	700 (0.5%)	567 (0.4%)

Source: J.P. Morgan.

While consumption indicators remain subdued, we note that the policy emphasis is shifting toward consumption-focused measures, including expanded trade-in subsidies, pension increases, birth incentives, and childcare support. The 15th Five Year Plan explicitly calls for a "notable increase in the consumption rate," and our economists expect fiscal support for consumption to rise to approximately 700 billion yuan (0.5% of GDP) in 2026.

Figure 21: CSI300

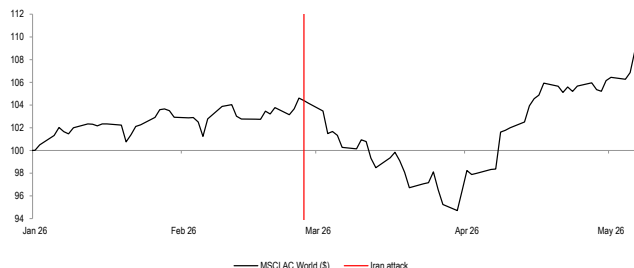


Source: Bloomberg Finance L.P.

The CSI300 has recently hit its highest level since early 2022, driven by persistent enthusiasm for AI and signs of economic resilience. Companies listed on Shenzhen's ChiNext and Shanghai's STAR Market saw net profit growth of 20% year-on-year, reflecting success in economic restructuring toward higher-value-added sectors. We encounter considerable scepticism about China's growth prospects among investors, with most not expecting material fiscal support from policymakers. We see scope for a positive surprise.

4. EM stands to benefit from easing geopolitical risks related to Iran

Figure 22: MSCI AC World

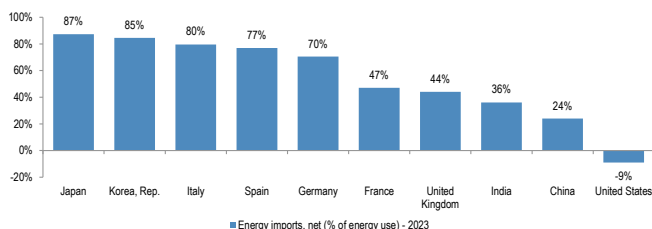


Source: Datastream

We have consistently [argued](#) from the second half of March that we should use the dips driven by geopolitical uncertainty to buy into. The V-shaped rebound that materialised validated this approach, and we continue to see any weakness as opportunities to add. We do not find equities complacent despite fresh all-time highs for both MSCI World and MSCI EM.

The path to a negotiated settlement looks more visible now, given constraints on both sides. While the situation remains unresolved and poses non-linear risks to commodity supply should it persist, the range of potential outcomes has substantially diminished. Energy prices have moderated from their peaks but remain well above pre-conflict levels. However, we see very limited risk of the current situation devolving into a 2022 style energy crisis.

Figure 23: Net Energy imports as % of energy use

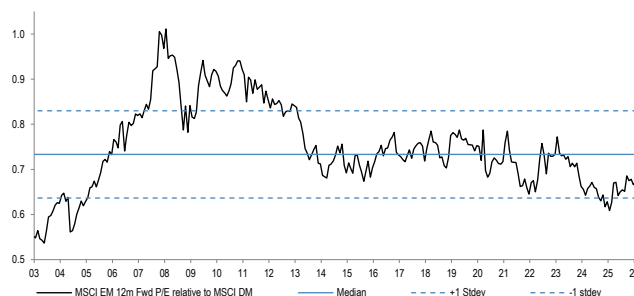


Source: Worldbank

Should conditions improve, EM stands to benefit disproportionately. Net energy importing economies, notably China, India, Korea, and Taiwan, would see a direct uplift to their terms of trade and corporate margins, amplifying the positive impact relative to developed market peers.

5. EM looks attractive on valuations, positioning and flows

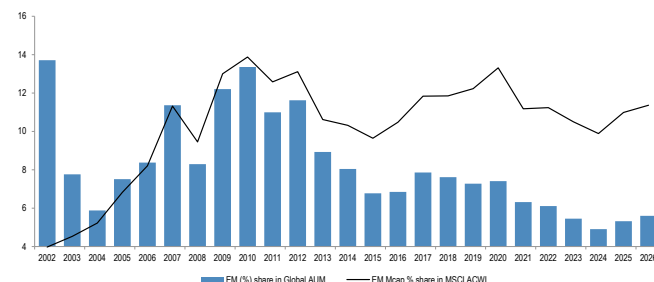
Figure 24: MSCI EM 12m Fwd PE relative to DM



Source: IBES

The EM P/E relative to DM is trading at a record discount at present, at 12x forward P/E versus approximately 20x for DM, this represents a 37% discount, significantly wider than the historical median discount. At an absolute 12x forward P/E, the space is far from demanding, particularly given the earnings growth trajectory of 51% for 2026 and 19% for 2027.

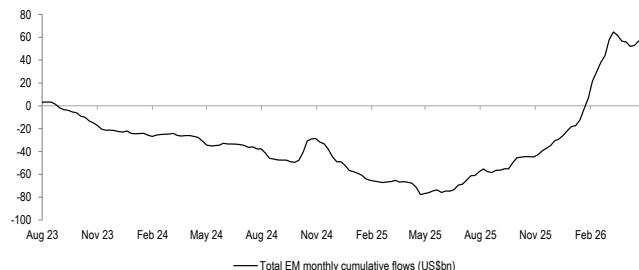
Figure 25: EM share in Global AUM



Source: J.P. Morgan EM Equity Strategy

Investor positioning remains low in EM. Despite strong inflows over the past year, EM equity allocations remain well below benchmark weights. EM accounts for approximately 11% of MSCI ACWI market capitalisation but only around 6% of global AUM. This structural underweight provides a powerful tailwind as investors gradually normalise their allocations.

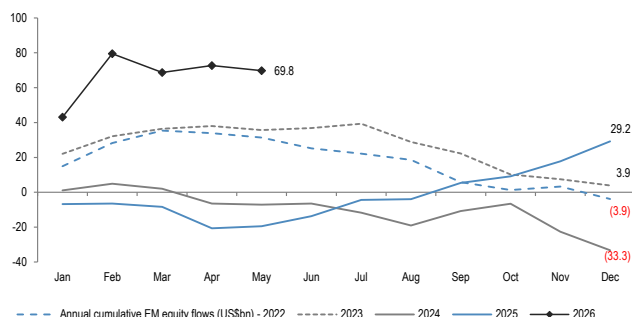
Figure 26: Total EM monthly cumulative flows



Source: J.P. Morgan. EM Equity Strategy

EM equity flows are accelerating.

Figure 27: Annual cumulative EM equity flows

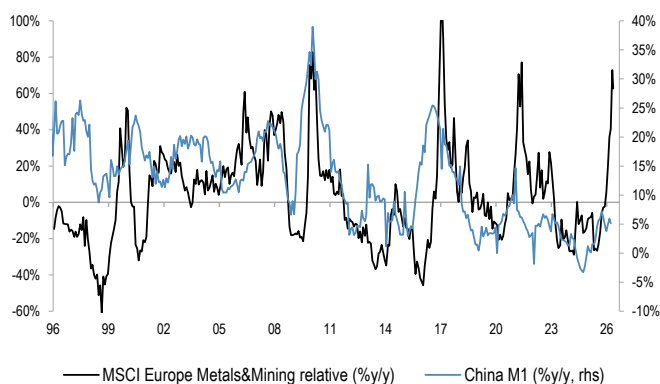


Source: J.P. Morgan EM Equity Strategy

EM equity net inflows in 2025 totalled \$29.2 billion, the highest since 2021. The pace of inflows in 2026 has been even stronger, with approximately \$70 billion already recorded in the first few months of the year. A number of EM-focused ETFs have seen unprecedented volumes of flows since the start of the year. We believe this trend has further to run as the structural underweight is gradually unwound.

We stay bullish on Mining, Semis and Industrials

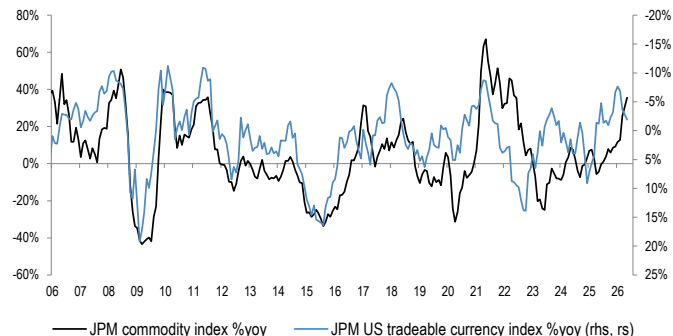
Figure 28: MSCI Europe Metals & Mining relative and China M1



Source: Datastream, Bloomberg Finance L.P.

We stay very bullish on Miners, noting they are near absolute and relative high range. The sector tends to benefit directly from improving activity in China, and a potential acceleration in domestic activity could be the next catalyst for the group.

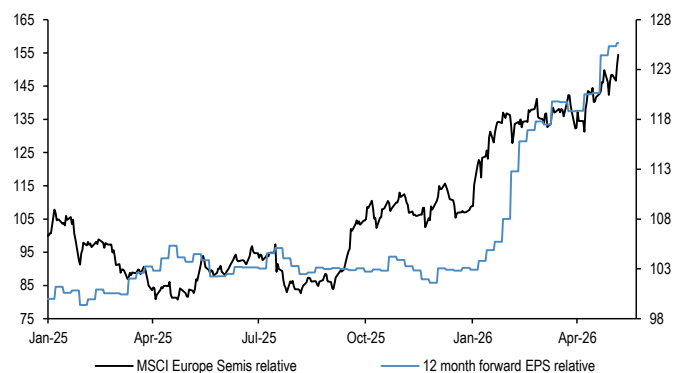
Figure 29: Commodity Index and trade - weighted USD



Source: Datastream

Miners should also benefit from firmer underlying commodity prices, particularly if USD weakness resumes in 2H.

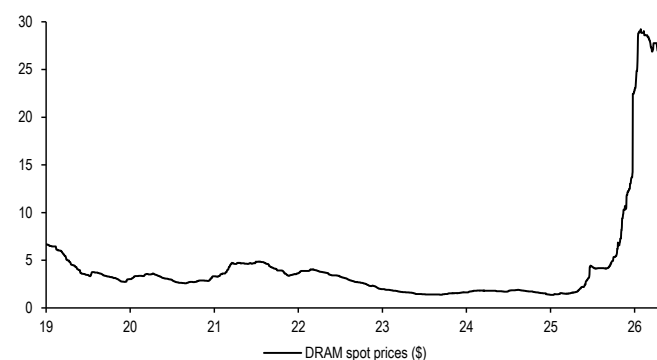
Figure 30: MSCI Europe Semis price relative and EPS relative



Source: Datastream

European Semis continue to see robust earnings growth, which is supporting ongoing outperformance versus the market. The sector has already outperformed by almost 90% since the summer 2025 lows, and we believe there's more to go.

Figure 31: DRAM prices



Source: Bloomberg Finance L.P.

Our sector analyst highlights that ASML, which makes up 80% of the European Semis index, is a significant beneficiary of the ongoing robust upcycle in the memory market, particu-

larly driven by strong AI demand, elevated DRAM prices and continued capacity build-out at TSMC.

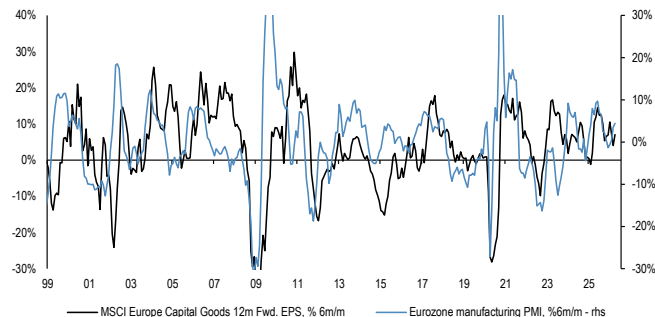
Figure 32: MSCI Europe Cap Goods relative since Jan '25



Source: Datastream

Capital Goods delivered strong gains last year, supported by resilient earnings, the electrification theme, and A&D exposure. We believe this momentum should continue.

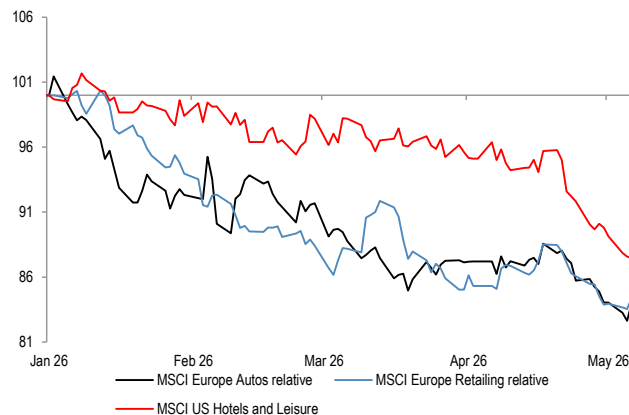
Figure 33: MSCI Europe Cap goods EPS relative and Manufacturing PMI



Source: IBES, J.P. Morgan.

Capital Goods earnings should also be supported by a better activity backdrop.

Figure 34: MSCI Europe Autos, Retailing and US Hotels and Leisure relative



Source: Datastream

On the other hand, almost all consumer names are lingering near their lows due to ongoing profit warnings and cautious guidance. We believe the sector could see a stronger 2H as oil prices ease, bond yields move lower, and the US administration acts to support consumers ahead of the midterms. We recommend selectively adding exposure, with increasing confidence, once there is clearer evidence that the Iran conflict is de-escalating.

Equity Strategy Key Calls and Drivers

Iran conflict might need to escalate in order to de-escalate, but an oil spike and resultant market weakness might not sustain, as an escalation might in fact make an off-ramp more likely. The considerations of swiftly rising US gasoline price and adverse polling on one side, and on the other the increasing discomfort among Iran's largest oil customers become more acute as time passes. While near term volatility is probable, we think that if one has a time horizon longer than next days/weeks, on 3/6/12 months timeframe one should continue using dips to add into. Now, is it obvious that there is a disconnect between equities and commodity markets given that MXWO completed a V-shaped rebound, but at the same time Strait of Hormuz is staying closed? Not necessarily. Of course, if Brent shows a non-linear move higher, equities will be lower. But also, similar to what transpired around Liberation day, the market can get whipsawed on any positive headline. Equities are not all that complacent beneath the surface - current market breath is very narrow and nearly all consumer plays are lingering at lows. We see big differences to 2022 template, and do not think that stagflation is the most likely outcome for 2H, while market earnings are staying on an uptrend, and we indicated in March that Mag-7 valuations turned outright cheap again. We looked for China green shoots - a pickup in domestic activity, which should help our EM OW.

Table 6: J.P. Morgan Equity Strategy — Factors driving our medium-term views

Driver	Impact	Our Core Working Assumptions	Recent Developments
Global Growth	Neutral	Hard labour market data has been a bright spot, but that can change quickly	Global composite PMI is at 51.0
European Growth	Positive	Fiscal policy changes and energy inflation to drive GDP revisions	Eurozone Manufacturing PMI is at 51.6
Monetary Policy	Neutral	Fed on pause	
Currency	Neutral	Longer term bearish dollar view intact	
Earnings	Positive	Eurozone earnings set to improve in 2026	2026 EPS projections are improving
Valuations	Negative	At 21x, U.S. forward P/E is still stretched, especially vs real yield	MSCI Europe on 14.8x Fwd P/E
Technicals	Neutral	Sentiment indicators appear close to oversold now, though positioning is still stretched	Households' equity weight as a share of total assets is at record high

Source: J.P. Morgan estimates

Table 7: Base Case and Risks

Scenario	Assumption
Upside scenario	Fed on pause while inflation remains in check and growth is stronger
Base-case scenario	Economic growth, inflation remains sustainable and Fed policy rate on hold, Geopolitical uncertainty subsides
Downside scenario	Fed hikes rates with inflation picking up. Geopolitical uncertainty escalates further

Source: J.P. Morgan estimates.

Table 8: Index targets

	Dec '26 Target	07-May-26	% upside
MSCI EUROZONE	385	368	5%
FTSE 100	10,300	10,277	0%
MSCI EUROPE	2,530	2,443	4%
DJ EURO STOXX 50	6,350	5,973	6%
DJ STOXX 600 E	630	616	2%

Source: J.P. Morgan

Table 9: Key sector calls

Overweight	Neutral	Underweight
Mining	Utilities	Energy
Capital Goods	Healthcare	Media
Semis	Autos	Utilities
Construction Materials	Telecoms	Staples
Luxury	Real Estate	Insurance
	Chemicals	
	Banks	
	Technology Hardware	

Source: J.P. Morgan.

Table 10: J.P. Morgan Equity Strategy — Key sector calls*

Sector	Recommendations	Key Drivers
Metals & Mining	Overweight	Preferred on a constructive China impulse and bearish USD backdrop (with "spot gap" now tighter), with China activity the key wildcard.
Cap Goods	Overweight	Supported by a constructive capex/electrification outlook, favoring parts of Industrials tied to investment spend.
Semis	Overweight	Expected to stabilize/benefit as the China/EM upswing helps previously China-exposed cyclicals and underperformers recover.
Media	Underweight	Likely to keep struggling regardless of near-term activity resilience, given ongoing AI-related disruption (though tactical bounces are possible after derating).
Software	Underweight	Similarly pressured by the AI threat and likely to remain a laggard structurally, even if oversold conditions drive intermittent rallies.

Source: J.P. Morgan estimates. * Please see the last page for the full list of our calls and sector allocation.

Table 11: J.P. Morgan Equity Strategy — Key regional calls

Region	Recommendations	J.P. Morgan Views
EM	Overweight	EM are underowned, valuations are cheap, seeing accelerating inflows, reduced China trade headwinds, China policy support
DM	Underweight	
US	Neutral	Crowded positioning, full valuations and AI commoditization risk, may not be regional outperformer
Japan	Neutral	Fundamentals remain solid, reforms/buybacks/wage gains help, but had big rally, fuller valuations
Eurozone	Overweight	Improving credit impulse and expected earnings rebound (if conflict doesn't extend in 2H)
UK	Neutral	Structurally cheap with high dividends and lower AI/trade sensitivity - useful in risk-off - but lacks near-term growth catalysts

Source: J.P. Morgan estimates.

Top Picks

Table 12: J.P. Morgan European Strategy: Top European picks

Name	Ticker	Sector	Price	Currency	Market Cap (€ Bn)	EPS Growth			Dividend Yield	12m Fwd P/E			Performance	
						25	26e	27e	26e	Current	10Y Median	% Premium	-3m	-12m
AEGON LTD	AGN NA	Financials	7	E	11.2	-18%	61%	1%	4.9%	7.5	6.8	11%	7%	20%
AIB GROUP PLC	AIBG ID	Financials	10	E	20.7	0%	-7%	10%	3.7%	11.0	11.0	0%	4%	58%
ALSTOM	ALO FP	Industrials	18	E	8.1	-	50%	14%	1.3%	9.2	17.1	-46%	-38%	-18%
ANHEUSER-BUSCH INBEV SA/NV	ABI BB	Staples	68	E	136.9	6%	16%	11%	1.3%	17.8	18.0	-1%	6%	18%
ARGENX SE	ARGX BB	Health Care	671	E	41.7	3977%	35%	29%	0.0%	27.2	-24.0	-	-4%	23%
ASML HOLDING NV	ASML NA	IT	1300	E	504.6	28%	27%	32%	0.5%	37.5	29.2	29%	9%	115%
ASTRAZENCA PLC	AZN LN	Health Care	13314	E	238.9	12%	11%	13%	1.7%	16.9	18.0	-6%	-6%	27%
BABCOCK INTL GROUP PLC	BAB LN	Industrials	1100	E	6.2	64%	14%	11%	0.5%	17.8	9.0	99%	-21%	27%
BARCLAYS PLC	BARC LN	Financials	435	E	68.6	27%	7%	21%	1.9%	7.8	7.3	6%	-9%	47%
BAYERISCHE MOTOREN WERKE AG	BMW GR	Discretionary	83	E	50.5	2%	-12%	14%	5.2%	7.5	7.1	6%	-7%	8%
BT GROUP PLC	BT/A LN	Telecoms	222	E	25.6	1%	-4%	2%	3.6%	12.2	8.3	47%	7%	33%
CIE FINANCIERE RICHEMO-A REG	CFR SW	Discretionary	159	E	102.5	-1%	-2%	13%	1.6%	24.6	22.0	12%	2%	11%
CONTINENTAL AG	CON GR	Discretionary	70	E	13.8	1%	-18%	15%	3.6%	10.1	9.8	3%	-1%	30%
DSV A/S	DSV DC	Industrials	1507	E	48.5	-1%	30%	30%	0.5%	20.6	22.8	-9%	-20%	4%
FINECOBANK SPA	FBK IM	Financials	22	E	13.2	-1%	2%	10%	3.4%	19.2	19.4	-1%	-4%	20%
FRAPORT AG FRANKFURT AIRPORT	FRA GR	Industrials	73	E	6.5	-4%	-20%	5%	0.0%	18.7	15.2	23%	-12%	23%
FRESENIUS SE & CO KGAA	FRE GR	Health Care	41	E	22.8	13%	3%	8%	2.4%	10.9	12.2	-10%	-18%	-6%
FRESNILLO PLC	FRES LN	Materials	3663	E	31.2	465%	62%	-1%	0.5%	15.0	20.2	-26%	-1%	248%
INDUSTRIA DE DISENO TEXTIL	ITX SM	Discretionary	53	E	164.2	9%	-	-	2.9%	23.6	22.8	3%	-8%	14%
JERONIMO MARTINS	JMT PL	Staples	19	E	12.1	8%	17%	15%	3.1%	15.3	20.2	-24%	-6%	-10%
LEONARDO SPA	LDO IM	Industrials	55	E	31.7	15%	49%	20%	0.9%	22.1	9.7	126%	3%	15%
MARKS & SPENCER GROUP PLC	MKS LN	Staples	332	E	7.9	31%	-26%	44%	0.9%	10.1	11.2	-10%	-14%	-9%
NOKIA OYJ	NOKIA FH	IT	11	E	60.6	-26%	16%	16%	1.3%	29.9	14.6	104%	79%	138%
NOVONESIS (NOVOZYMES) B	NSISB DC	Materials	373	E	23.4	16%	32%	10%	1.1%	24.5	28.7	-15%	-3%	-12%
ORANGE	ORA FP	Telecoms	18	E	47.0	5%	17%	12%	4.1%	17.3	10.7	61%	7%	38%
PRUDENTIAL PLC	PRU LN	Financials	1168	E	34.0	13%	15%	21%	1.4%	13.0	10.8	21%	-1%	41%
RWE AG	RWE GR	Utilities	58	E	43.2	-21%	8%	19%	1.7%	20.5	14.3	43%	10%	79%
SAIPEM SPA	SPM IM	Energy	4	E	8.6	0%	49%	35%	3.6%	18.3	15.6	18%	38%	110%
SAP SE	SAP GR	IT	149	E	184.1	37%	17%	17%	1.5%	19.9	21.7	-8%	-13%	-43%
SEGRO PLC	SGRO LN	Real Estate	708	E	11.1	6%	5%	4%	4.1%	18.3	25.5	-28%	-6%	5%
SIEMENS AG-REG	SIE GR	Industrials	263	E	205.6	17%	-11%	14%	2.0%	22.9	15.0	52%	5%	25%
SIEMENS ENERGY AG	ENR GR	Industrials	179	E	154.9	-	156%	35%	0.0%	35.7	30.4	17%	17%	148%
SMURFIT WESTROCK PLC	SWR LN	Materials	42	E	18.8	-15%	22%	29%	4.4%	15.2	13.9	9%	-6%	4%
SSE PLC	SSE LN	Utilities	2482	E	34.8	13%	-7%	22%	2.4%	13.4	12.2	10%	-1%	45%
STANDARD CHARTERED PLC	STAN LN	Financials	1887	E	48.3	36%	0%	21%	1.4%	10.9	9.1	19%	0%	80%
TECHNIP ENERGIES NV	TE FP	Energy	38	E	6.7	-6%	23%	27%	2.2%	13.8	10.3	35%	16%	27%
UNILEVER PLC	ULVR LN	Staples	4310	E	108.8	-8%	4%	7%	4.0%	15.3	18.5	-17%	-18%	-16%
UNIVERSAL MUSIC GROUP NV	UMG NA	Telecoms	19	E	35.8	7%	0%	11%	2.7%	18.2	24.8	-26%	-1%	-28%

Source: Datastream, MSCI, IBES, J.P. Morgan, Prices and Valuations as of COB 07th May, 2026. Past performance is not indicative of future returns.

Please see the most recent company-specific research published by J.P. Morgan for an analysis of valuation methodology and risks on companies recommended in this report. Research is available at <http://www.jpmorganmarkets.com>

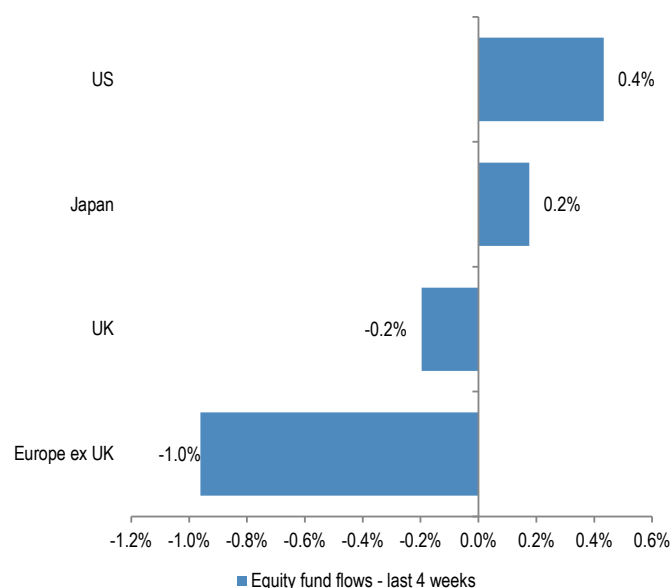
Equity Flows Snapshot

Table 13: DM Equity Fund Flows Summary

	Regional equity fund flows					% AUM				
	1w	1m	<u>\$mn</u> 3m	YTD	12m	1w	1m	3m	YTD	12m
Europe ex UK	-630	-4,562	-4,135	-3,767	6,022	-0.1%	-1.0%	-0.9%	-0.8%	1.6%
UK	368	-650	-2,669	-5,193	-25,475	0.1%	-0.2%	-0.8%	-1.7%	-9.0%
US	9,333	63,996	128,292	144,120	386,070	0.1%	0.4%	0.9%	1.0%	3.3%
Japan	484	2,008	17,896	19,825	-2,491	0.0%	0.2%	1.6%	1.9%	-0.3%

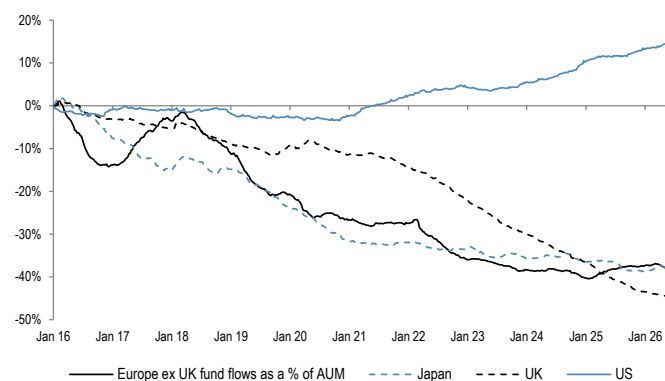
Source: EPFR, as of 06th May, 2026

Figure 35: DM Equity Fund flows – last month



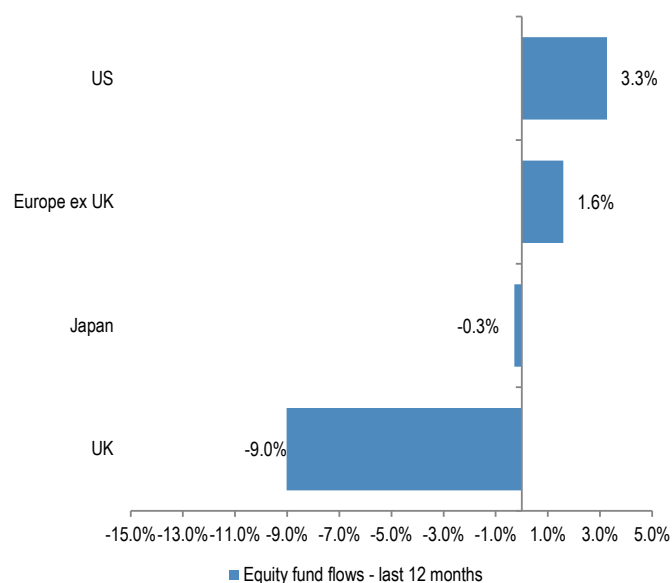
Source: EPFR, Japan includes BoJ purchases.

Figure 37: Cumulative fund flows into regional funds as a percentage of AUM



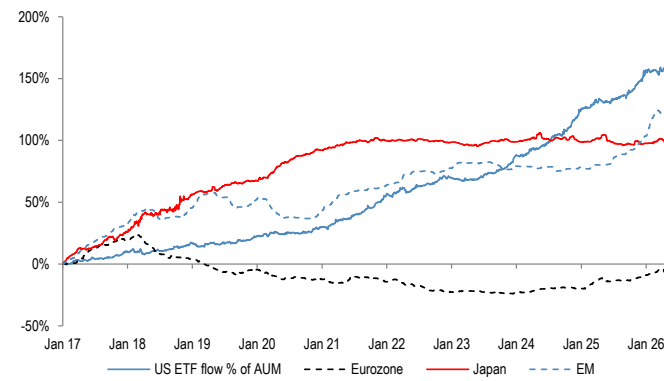
Source: EPFR, as of 06th May, 2026. Japan includes Non-ETF purchases only.

Figure 36: DM Equity Fund flows – last 12 months



Source: EPFR, Japan includes BoJ purchases.

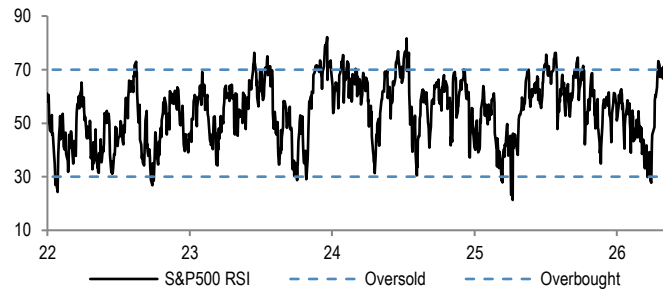
Figure 38: Cumulative fund flows into regional equity ETFs as a percentage of AUM



Source: Bloomberg Finance L.P. *Based on the 25 biggest ETF's with a mandate to invest in that particular region. Japan includes BoJ purchases.

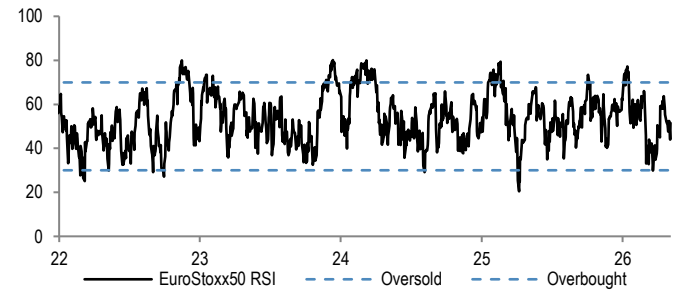
Technical Indicators

Figure 39: S&P500 RSI



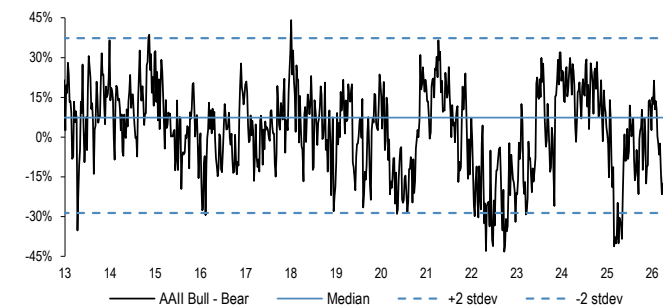
Source: Bloomberg Finance L.P.

Figure 40: EuroStoxx50 RSI



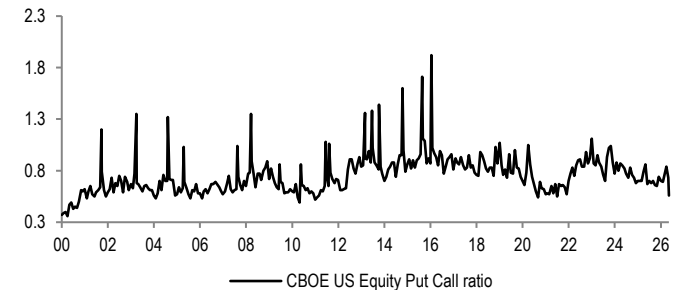
Source: Bloomberg Finance L.P.

Figure 41: AAI Bull-Bear



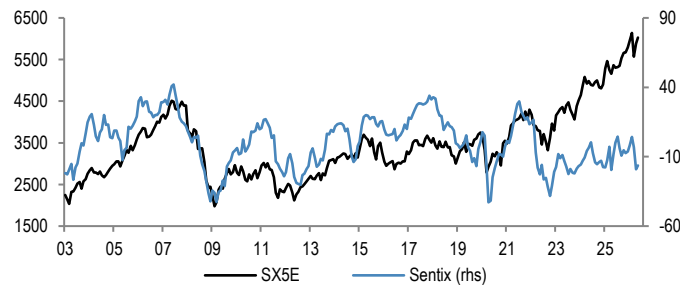
Source: Bloomberg Finance L.P.

Figure 42: Put-call ratio



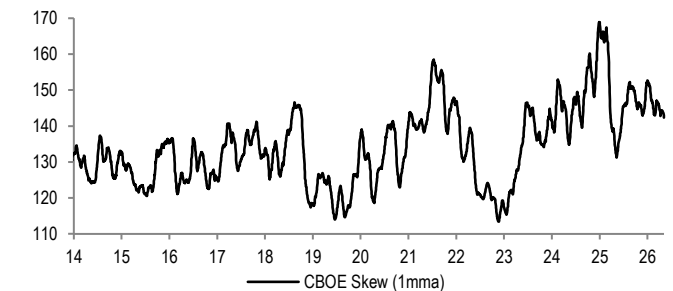
Source: Bloomberg Finance L.P.

Figure 43: Sentix Sentiment Index vs SX5E



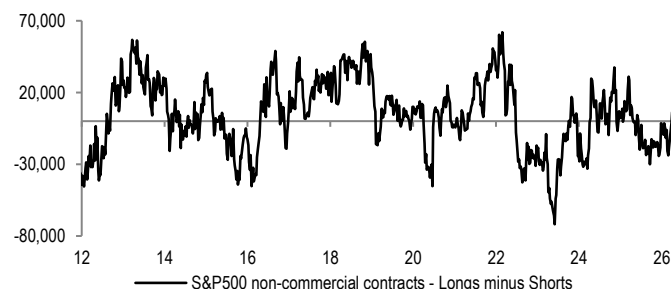
Source: Bloomberg Finance L.P.

Figure 44: Equity Skew



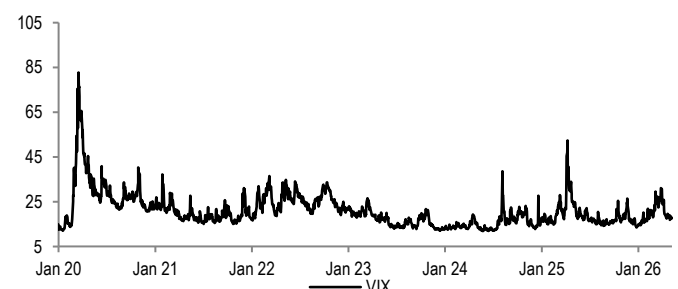
Source: Bloomberg Finance L.P.

Figure 45: Speculative positions in S&P500 futures contracts



Source: Bloomberg Finance L.P.

Figure 46: VIX



Source: Bloomberg Finance L.P.

Performance

Table 14: Sector Index Performances — MSCI Europe

(%change)		Local currency		
Industry Group		4week	12m	YTD
Europe		1.2	15.9	4.5
Energy		(2.4)	48.4	28.9
Materials		2.1	23.1	11.9
	Chemicals	0.8	(8.0)	5.3
	Construction Materials	4.3	15.0	(8.8)
	Metals & Mining	3.7	93.4	27.7
Industrials		3.7	23.9	10.4
	Capital Goods	4.6	32.4	13.7
	Transport	(5.4)	11.6	(2.3)
	Business Svcs	2.9	(28.0)	(11.0)
Consumer Discretionary		(1.4)	(8.4)	(14.2)
	Automobile	(2.9)	(12.5)	(12.2)
	Consumer Durables	(1.9)	(8.9)	(18.7)
	Media	(4.8)	(28.8)	(19.8)
	Retailing	(1.4)	2.2	(11.8)
	Hotels, Restaurants & Leisure	1.5	(12.4)	(7.7)
Consumer Staples		(0.9)	(4.4)	(1.6)
	Food & Drug Retailing	(4.0)	12.3	8.1
	Food Beverage & Tobacco	(0.3)	(4.0)	0.3
	Household Products	(1.0)	(10.4)	(8.9)
Healthcare		(3.5)	4.1	(4.4)
Financials		1.9	22.3	1.0
	Banks	1.8	43.3	3.3
	Diversified Financials	3.9	1.7	(2.7)
	Insurance	0.7	2.6	(1.4)
Real Estate		1.9	9.1	2.6
Information Technology		12.2	39.6	24.1
	Software and Services	6.4	(35.2)	(18.8)
	Technology Hardware	18.4	66.8	37.5
	Semicon & Semicon Equip	13.1	116.3	48.2
Telecommunications Services		(4.9)	(7.6)	(0.1)
Utilities		(1.7)	30.2	14.9

Source: MSCI, Datastream, As at COB 6th May, 2026

Table 15: Country and Region Index Performances

(%change)		Local Currency			US\$		
Country	Index	4week	12m	YTD	4week	12m	YTD
Austria	ATX	5.3	42.5	12.0	5.9	47.7	12.2
Belgium	BEL 20	3.0	24.4	9.4	3.6	28.9	9.5
Denmark	KFX	7.3	(11.1)	(4.4)	7.9	(7.9)	(4.4)
Finland	HEX 20	4.6	36.5	11.7	5.2	41.5	11.9
France	CAC 40	0.4	7.8	1.8	1.0	11.8	1.9
Germany	DAX	3.5	7.2	1.7	4.0	11.1	1.9
Greece	ASE General	0.6	34.0	8.4	1.1	38.9	8.6
Ireland	ISEQ	0.7	21.2	(1.2)	1.3	25.6	(1.1)
Italy	FTSE MIB	5.5	28.9	10.6	6.1	33.6	10.7
Japan	Topix	(1.2)	38.7	9.4	0.0	26.8	9.7
Netherlands	AEX	2.8	15.2	8.4	3.4	19.4	8.5
Norway	OBX	(2.7)	29.6	19.6	0.3	44.0	30.1
Portugal	BVL GEN	(1.9)	33.0	12.3	(1.4)	37.9	12.5
Spain	IBEX 35	(0.2)	33.8	4.6	0.4	38.7	4.7
Sweden	OMX	2.1	30.1	9.6	2.8	35.2	9.6
Switzerland	SMI	1.3	8.6	0.1	2.5	14.9	1.8
United States	S&P 500	8.6	31.4	7.6	8.6	31.4	7.6
United States	NASDAQ	14.2	46.1	11.2	14.2	46.1	11.2
United Kingdom	FTSE 100	(1.6)	21.4	5.1	(0.5)	23.5	6.3
EMU	MSCI EMU	2.3	17.0	5.6	2.8	21.2	5.8
Europe	MSCI Europe	1.2	15.9	4.5	2.0	20.0	5.2
Global	MSCI AC World	6.3	28.5	7.0	6.6	28.9	7.3

Source: MSCI, Datastream, As at COB 6th May, 2026

Earnings

Table 16: IBES Consensus EPS Sector Forecasts — MSCI Europe

	EPS Growth (%yoy)			
	2025E	2026E	2027E	2028E
Europe	(0.4)	16.1	10.8	10.0
Energy	(14.0)	51.8	(7.9)	(2.0)
Materials	(9.3)	31.9	9.5	6.4
Chemicals	(6.6)	9.9	9.2	10.5
Construction Materials	(22.1)	10.2	12.8	10.7
Metals & Mining	(6.1)	59.7	8.0	2.6
Industrials	8.8	10.2	14.5	13.4
Capital Goods	11.0	11.9	15.4	13.8
Transport	(2.0)	(1.2)	11.2	12.5
Business Svs	5.8	10.8	10.6	11.5
Discretionary	(59.5)	140.8	18.7	15.0
Automobile	(129.4)	-	25.3	17.3
Consumer Durables	(6.1)	8.5	15.0	12.2
Media	20.5	9.2	14.5	12.8
Retailing	22.1	12.3	14.0	14.8
Hotels, Restaurants & Leisure	14.6	5.6	14.2	14.0
Staples	(1.8)	3.0	7.8	7.0
Food & Drug Retailing	1.0	9.9	8.8	7.4
Food Beverage & Tobacco	(1.5)	2.3	7.8	7.4
Household Products	(4.0)	1.8	7.2	5.6
Healthcare	9.5	3.3	10.2	10.8
Financials	10.0	9.1	12.4	10.7
Banks	12.8	7.6	12.9	11.1
Diversified Financials	(7.9)	20.8	17.9	14.8
Insurance	14.2	7.1	8.1	6.9
Real Estate	11.6	2.2	3.7	5.5
IT	11.7	15.6	25.6	15.9
Software and Services	24.6	11.5	16.9	16.3
Technology Hardware	3.6	(6.7)	12.5	11.1
Semicon & Semicon Equip	7.1	29.5	35.9	17.1
Telecoms	5.5	11.9	13.1	11.6
Utilities	0.5	6.3	7.3	6.9

Source: IBES, MSCI, Datastream. As at COB 6th May, 2026

Table 17: IBES Consensus EPS Country Forecasts

		EPS growth (%change)			
Country	Index	2025E	2026E	2027E	2028E
Austria	ATX	9.1	20.2	10.7	8.1
Belgium	BEL 20	18.1	8.5	15.4	12.8
Denmark	Denmark KFX	(0.7)	(3.7)	5.7	10.3
Finland	MSCI Finland	4.1	15.1	12.3	9.5
France	CAC 40	(22.8)	42.7	10.7	10.0
Germany	DAX	2.7	6.0	14.9	13.5
Greece	MSCI Greece	(1.1)	12.7	11.3	10.8
Ireland	MSCI Ireland	6.6	1.8	11.4	13.2
Italy	MSCI Italy	(35.6)	81.0	10.4	9.6
Netherlands	AEX	(19.4)	30.1	11.3	8.6
Norway	MSCI Norway	(12.9)	41.1	(2.3)	2.1
Portugal	MSCI Portugal	24.3	16.2	3.7	4.7
Spain	IBEX 35	5.6	9.3	11.5	9.3
Sweden	OMX	(3.4)	5.3	8.2	8.3
Switzerland	SMI	6.6	7.0	10.2	9.1
United Kingdom	FTSE 100	6.6	16.6	8.3	8.3
EMU	MSCI EMU	(4.0)	19.1	12.7	11.2
Europe ex UK	MSCI Europe ex UK	(2.5)	15.8	11.9	10.7
Europe	MSCI Europe	(0.4)	16.1	10.8	10.0
United States	S&P 500	13.6	21.4	16.9	13.1
Japan	Topix	10.4	7.9	12.6	11.7
Emerging Market	MSCI EM	10.5	51.1	18.7	10.5
Global	MSCI AC World	9.9	24.2	15.2	11.8

Source: IBES, MSCI, Datastream. As at COB 6th May, 2026** Japan refers to the period from March in the year stated — EPS post-goodwill

Valuations

Table 18: IBES Consensus European Sector Valuations

	P/E			Dividend Yield			EV/EBITDA			Price to Book		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Europe	15.6	14.1	12.8	3.1%	3.4%	3.7%	9.0	8.4	7.8	2.3	2.1	2.0
Energy	9.4	10.2	10.4	4.2%	4.4%	4.6%	3.7	4.0	4.2	1.5	1.4	1.3
Materials	17.2	15.7	14.8	2.9%	3.0%	3.3%	8.1	7.5	7.1	2.0	1.9	1.8
Chemicals	21.2	19.4	17.6	2.9%	3.0%	3.2%	11.0	10.4	9.7	2.2	2.1	2.0
Construction Materials	16.9	15.0	13.6	2.3%	2.5%	2.7%	9.1	8.1	7.3	1.8	1.7	1.6
Metals & Mining	14.7	13.7	13.3	2.9%	3.1%	3.3%	6.5	6.1	5.9	2.2	2.0	1.9
Industrials	23.7	20.7	18.3	2.0%	2.2%	2.4%	12.0	10.7	9.6	4.2	3.8	3.4
Capital Goods	25.4	22.0	19.4	1.8%	2.0%	2.3%	13.2	11.7	10.3	4.8	4.4	3.8
Transport	16.3	14.7	13.1	3.0%	3.2%	3.3%	7.9	7.5	7.0	1.9	1.8	1.7
Business Svcs	17.5	15.8	14.2	2.9%	3.2%	3.5%	11.1	10.1	9.1	5.1	4.8	4.7
Discretionary	14.9	12.6	10.9	2.7%	3.0%	3.4%	6.3	5.5	5.0	1.9	1.7	1.6
Automobile	8.6	6.8	5.8	4.4%	5.1%	5.7%	1.8	1.5	1.3	0.6	0.6	0.5
Consumer Durables	23.0	20.0	17.8	2.1%	2.4%	2.6%	12.2	10.8	9.9	3.7	3.4	3.1
Media & Entertainment	18.6	16.3	14.7	1.7%	1.9%	2.1%	12.9	11.3	9.1	4.2	3.7	3.2
Retailing	14.2	12.5	10.9	2.4%	2.7%	2.9%	12.5	11.2	9.7	3.6	3.3	2.8
Hotels, Restaurants & Leisure	17.8	15.6	13.7	2.8%	3.1%	3.4%	9.7	8.9	8.0	4.4	4.0	3.6
Staples	16.4	15.2	14.2	3.4%	3.6%	3.8%	10.3	9.5	9.0	2.9	2.7	2.6
Food & Drug Retailing	13.7	12.6	11.8	3.7%	3.8%	4.2%	6.8	6.4	5.9	2.0	1.9	1.8
Food Beverage & Tobacco	16.5	15.3	14.2	3.6%	3.8%	4.1%	10.6	9.8	9.2	2.7	2.6	2.4
Household Products	17.6	16.4	15.5	2.9%	3.1%	3.2%	12.0	10.8	10.7	4.0	3.7	3.4
Healthcare	15.8	14.4	13.0	2.6%	2.8%	3.0%	12.0	10.8	9.8	3.1	2.8	2.6
Financials	11.1	9.8	8.9	4.7%	5.1%	5.6%	-	-	-	1.5	1.4	1.3
Banks	10.2	9.1	8.1	5.2%	5.6%	6.3%	-	-	-	1.3	1.3	1.2
Diversified Financials	13.0	11.0	9.6	2.9%	3.1%	3.4%	-	-	-	1.6	1.5	1.4
Insurance	12.2	11.3	10.5	5.0%	5.4%	5.8%	-	-	-	2.1	1.9	1.8
Real Estate	13.5	13.2	12.8	4.9%	5.0%	5.2%	-	-	-	0.7	0.7	0.7
IT	32.5	25.9	22.3	1.0%	1.2%	1.3%	18.0	14.1	11.8	5.9	5.3	4.7
Software and Services	22.1	18.9	16.3	1.6%	1.8%	2.0%	12.1	9.4	7.6	3.6	3.3	2.9
Technology Hardware	25.4	22.6	20.4	1.6%	1.7%	1.8%	11.7	10.4	9.3	3.3	3.1	2.9
Semicon & Semicon Equip	41.8	30.8	26.3	0.7%	0.8%	0.9%	26.0	19.3	16.6	10.9	9.3	7.7
Communication Services	16.6	14.7	13.2	3.4%	3.7%	3.9%	6.7	6.3	5.8	2.1	2.1	2.0
Utilities	16.4	15.3	14.3	3.9%	4.1%	4.3%	9.8	9.6	9.2	2.1	1.9	1.9

Source: IBES, MSCI, Datastream. As at COB 06th May, 2026.

Table 19: IBES Consensus P/E and 12-Month Forward Dividend Yields — Country Forecasts

Country	Index	P/E				Dividend Yield
		12mth Fwd	2026E	2027E	2028E	12mth Fwd
Austria	ATX	10.9	11.3	10.2	9.4	4.1%
Denmark	Denmark KFX	15.9	16.2	15.3	13.9	2.9%
Finland	MSCI Finland	21.3	22.1	19.7	18.0	2.9%
France	CAC 40	14.5	15.0	13.6	12.3	3.4%
Germany	DAX	14.3	15.1	13.1	11.6	3.1%
Greece	MSCI Greece	18.8	19.5	17.6	15.9	2.8%
Ireland	MSCI Ireland	11.9	12.3	11.0	9.7	3.4%
Italy	MSCI Italy	12.5	12.9	11.7	10.7	4.7%
Netherlands	AEX	16.1	16.6	14.9	13.7	2.3%
Norway	MSCI Norway	12.3	12.2	12.5	12.2	5.1%
Portugal	MSCI Portugal	14.1	14.2	13.7	13.1	3.8%
Spain	IBEX 35	13.8	14.3	12.8	11.7	3.9%
Sweden	OMX	17.8	18.3	16.9	15.6	3.1%
Switzerland	SMI	17.4	18.0	16.3	14.9	3.1%
United Kingdom	FTSE 100	12.8	13.1	12.1	11.1	3.4%
EMU	MSCI EMU	15.0	15.7	13.9	12.5	3.2%
Europe ex UK	MSCI Europe ex UK	15.9	16.5	14.8	13.3	3.1%
Europe	MSCI Europe	15.1	15.6	14.1	12.8	3.2%
United States	S&P 500	21.4	23.0	19.6	17.4	1.1%
Japan	Topix	16.0	18.2	16.2	14.5	2.3%
Emerging Market	MSCI EM	11.7	12.4	11.0	9.3	2.3%
Global	MSCI AC World	17.7	18.7	16.8	14.5	1.7%

Source: IBES, MSCI, Datastream. As at COB 6th May, 2026; **Japan refers to the period from March in the year stated-P/E post goodwill.

Economic, Interest Rate and Exchange Rate Outlook

Table 20: Economic Outlook in Summary

	Real GDP % oya			Real GDP						Consumer prices % oya			
	2025	2026E	2027E	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	1.9	2.5	1.5	1.5	1.7	2.3	2.3	2.7	3.7	3.5	2.0
Eurozone	1.5	0.9	1.3	0.7	0.7	1.0	1.3	1.3	1.5	2.1	3.1	3.2	2.0
United Kingdom	1.4	0.5	1.0	1.0	0.5	0.0	1.0	1.2	1.5	3.4	2.9	3.5	3.0
Japan	1.2	0.5	0.7	1.0	0.2	1.0	0.8	0.8	0.7	2.7	1.9	2.7	3.0
Emerging markets	4.2	3.9	3.6	4.5	3.7	3.2	3.1	3.8	3.9	2.8	3.5	3.3	2.7
Global	2.8	2.5	2.4	2.9	2.2	2.0	2.1	2.6	2.7	2.7	3.4	3.3	2.4

Source: J.P. Morgan Economic Research estimates, as of 06th May, 2026

Table 21: Official Rates Outlook

	Official interest rate	Current	Last change (bp)	Forecast next change (bp)	Forecast for			
					Jun 26	Sep 26	Dec 26	Mar 27
United States	Federal funds rate	3.75	10 Dec 25 (-25bp)	Sep 27 (+25bp)	3.75	3.75	3.75	3.75
Eurozone	Depo rate	2.00	5 Jun 25 (-25bp)	Jun 26 (+25bp)	2.25	2.50	2.50	2.50
United Kingdom	Bank Rate	3.75	7 Aug 25 (-25bp)	Jun 26 (+25bp)	4.00	4.00	4.00	4.00
Japan	Pol rate IOER	0.75	19 Dec 25 (+25bp)	Apr 26 (+25bp)	1.00	1.00	1.25	1.25

Source: J.P. Morgan estimates, Datastream, as of 06th May, 2026

Table 22: 10-Year Government Bond Yield Forecasts

10 Yr Govt BY	7-May-26	Forecast for end of				
		Jun 26	Sep 26	Dec 26	Mar 27	
US	4.34	4.25	4.30	4.35	4.35	
Euro Area	3.00	2.95	2.90	2.85	2.75	
United Kingdom	4.94	4.70	4.75	4.75	4.70	
Japan	2.48	2.20	2.30	2.40	2.40	

Source: J.P. Morgan estimates, Datastream, forecasts as of 06th May, 2026

Table 23: FX forecasts

Exchange rates vs US\$	6-May-26	Forecast for end of				
		Jun 26	Sep 26	Dec 26	Mar 27	
EUR	1.18	1.17	1.20	1.20	1.20	
GBP	1.36	1.34	1.36	1.35	1.38	
CHF	0.78	0.78	0.76	0.76	0.76	
JPY	156	158	160	164	164	
DXY	98.0	98.5	96.9	97.5	97.2	

Source: J.P. Morgan estimates, Datastream, forecasts as of 1st May, 2026

Sector, Regional and Asset Class Allocations

Table 24: J.P. Morgan Equity Strategy — European Sector Allocation

		MSCI Europe Weights	Allocation	Deviation	Recommendation
Energy		5.2%	4.0%	-1.2%	UW
Materials		5.6%	8.0%	2.4%	OW
	Chemicals				N
	Construction Materials				OW
	Metals & Mining				OW
Industrials		19.5%	21.0%	1.5%	OW
	Capital Goods				OW
	Transport				N
	Business Services				N
Consumer Discretionary		5.3%	8.0%	2.7%	OW
	Automobile				N
	Consumer Durables				OW
	Consumer Svcs				N
	Specialty Retail				N
	Internet Retail				N
Consumer Staples		8.7%	7.0%	-1.7%	UW
	Food & Drug Retailing				UW
	Beverages				UW
	Food & Tobacco				UW
	Household Products				UW
Healthcare		13.1%	12.0%	-1.1%	N
Financials		23.7%	22.0%	-1.7%	N
	Banks				N
	Insurance				UW
Real Estate		0.7%	1.0%	0.3%	N
Information Technology		8.3%	7.0%	-1.3%	N
	Software and Services				UW
	Technology Hardware				N
	Semicon & Semicon Equip				OW
Communication Services		4.8%	4.0%	-0.8%	N
	Telecommunication Services				N
	Media				UW
Utilities		5.3%	6.0%	0.7%	N
		100.0%	100.0%	0.0%	Balanced

Source: MSCI, Datastream, J.P. Morgan.

Table 25: J.P. Morgan Equity Strategy — Global Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
EM	11.4%	14.0%	2.6%	Overweight
DM	88.6%	86.0%	-2.6%	Underweight
US	72.1%	73.0%	0.9%	Neutral
Japan	5.7%	6.0%	0.3%	Neutral
Eurozone	9.0%	11.0%	2.0%	Overweight
UK	3.8%	3.0%	-0.8%	Neutral
Others*	9.3%	7.0%	-2.3%	Underweight
	100.0%	100.0%	0.0%	Balanced

Source: MSCI, J.P. Morgan *Other includes Denmark, Switzerland, Australia, Canada, Hong Kong SAR, Sweden, Singapore, New Zealand, Israel and Norway

Table 26: J.P. Morgan Equity Strategy — European Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
Eurozone	53.8%	58.0%	4.2%	Overweight
United Kingdom	22.8%	21.0%	-1.8%	Neutral
Others**	23.4%	21.0%	-2.4%	Underweight
	100.0%			Balanced

Source: MSCI, J.P. Morgan **Other includes Denmark, Switzerland, Sweden and Norway

Table 27: J.P. Morgan Equity Strategy — Asset Class Allocation

	Benchmark weighting	Allocation	Deviation	Recommendation
Equities	60%	65%	5%	Overweight
Bonds	30%	30%	0%	Neutral
Cash	10%	5%	-5%	Underweight
	100%	100%	0%	Balanced

Source: MSCI, J.P. Morgan



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